Further, the Commission is modifying Proposed Rule 825 to resolve the two differences between the proposed Daily Market Data Report and the existing CFTC reporting scheme under § 16.01: (1) that the Daily Market Data Report would include the number of block trades executed[446]; and (2) that the Daily Market Data Report would be posted on the SBSEF's website no later than *the beginning of trading* on the next business day,[447] while the information required by § 16.01 must be made public no later than the next business day.[448]

A number of commenters raised specific concerns that the disclosures in the Daily Market Data Report would hamper the efficient trading of block trades.[449] The Commission agrees that the additional disclosed data element for SBSEFs—the number of block trades—could lead to additional information leakage while a dealer that facilitated a block trade might still be laying off the risk it undertook in facilitating that trade. Therefore, consistent with the CFTC's disclosure elements under § 16.01, the Commission is modifying Rule 825(c)(1) as proposed to delete paragraph (c)(1)(iii), which requires the disclosure of the number of block trades, and to renumber the following paragraphs accordingly. The Commission is also, pursuant to its determination not to adopt a definition of "block trade,"[450] deleting the words "including block trades but" from the text of paragraph (c)(i) and (ii) of Rule 825, and is adding the words "after such time as the Commission adopts a definition of 'block trade'" to paragraph (c)(iii) of

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446 *See* Proposed Rule 825(c)(1)(iii).

447 *See* Proposed Rule 825(c)(4).

448 *See* 17 CFR 16.01(e). The Commission views the requirement to keep each Daily Market Data Report on an SBSEF's website for one year, *see* Proposed Rule 825(c)(5), as a small additional burden for an SBSEF and does not view it as a significant departure from harmonization with the CFTC's SEF regime.

449 *See supra* notes 433–436 and accompanying text.

450 *See supra* section V.E.1(c)(ii).

Rule 825 (formerly paragraph (c)(iv) of Proposed Rule 825[451]), which will have no effect on the requirement as compared to the proposed rule.

The Commission is also modifying Proposed Rule 825 to address the comment that an SBSEF that operates nearly 24 hours a day might not be able to comply with the requirement to publish the Daily Market Data Report before the beginning of trading on the next business day. Accordingly, the Commission is modifying Proposed Rule 825(c)(4) to require the publication of the Daily Market Data Report "as soon as reasonably practicable on the next business day after the day to which the information pertains, but in no event later than 7 a.m. on the next business day." This modified requirement, while less stringent than the requirement as proposed, would differ slightly from the CFTC's requirement that such information must be made public "no later than the next business day."[452] Making each trading day's information available to market participants before the beginning of the next trading is reasonably designed to foster transparency and efficiency in the market for SBS.

With these modifications, the proposed Daily Market Data Report for SBSEFs is consistent with the required daily disclosures for SEFs. While one commenter states that Proposed Rule 825(c)(1) increases the burden on SBSEFs compared to SEFs, including by calling for qualitative descriptions of certain data, the data called for by Rule 825(c)(1), as modified, does not differ materially from that required to be published daily under § 16.01. Thus, the Commission does not agree with the commenter that the data required under the Commission

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451 The Commission is also correcting the form of a cross-reference in paragraph (b) to "Regulation SBSR" to read "§§ 242.900 through 242.909 (Regulation SBSR)."

452 *See* 17 CFR 16.01(e). The Commission views the requirement to keep each Daily Market Data Report on an SBSEF's website for one year, *see* Proposed Rule 825(c)(5), as a small additional burden for an SBSEF and does not view it as a significant departure from harmonization with the CFTC's SEF regime.

approach differs materially from that required under the CFTC approach or that the Daily Market Data Report will result in an unjustified increase in operational costs.

Further, the Commission does not agree with commenters that the Daily Market Data Report would serve as a duplicative source of information to reporting under Regulation SBSR and therefore risks overly complicating the SBSEF regime for limited benefit, without benefit to price improvement or liquidity formation. Regulation SBSR requires the reporting and public dissemination of SBS transactions,[453] but because the transaction reports for credit SBS are permitted to be capped at a notional volume of $5 million,[454] market participants would be unable to glean the information provided by the Daily Market Data Report—which would publish daily total notional volumes based on uncapped transaction amounts—from the individual reports of SBS transactions under Regulation SBSR. Thus, the Daily Market Data Report would provide market participants with information about pricing and trading volume for SBS on SBSEFs that goes beyond the information that could be obtained from SBS transaction reports that are publicly disseminated pursuant to Regulation SBSR. And because individual trades would not be reported—and, with the modification the Commission is making, the number of block trades would also not be reported—a size cap on reporting volume used to provide summary data to the market is not necessary or appropriate. Additionally, with the respect to the comment that the settlement price required under Proposed Rule 825(c)(1) should be included in the report only to the extent it is calculated by an SBSEF, the language of the requirement—

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453 *See* 17 CFR 242.900 *et seq*.

454 *See* 2019 Cross-Border Adopting Release, *supra* note 218, 85 FR at 6347 (providing no-action relief with respect to Rule 902 of Regulation SBSR, 17 CFR 242.902, for reports of credit SBS transaction disseminated with a capped size of $5 million).

"[t]he price *that is used for* settlement…"[455]—means that if no settlement price is calculated for a given SBS, that data element does not need to be reported.

With respect to the means of publication of the information, while the means of publishing the Daily Market Data Report varies from that specified under the CFTC regime, the difference is not material. The Commission proposed that this information be posted on an SBSEF's website in the most recent XML schema and PDF renderer, without fees or charges, without any encumbrances on access or usage, and without requiring a user to agree to any terms before viewing or downloading the report.[456] And the CFTC, in addition to requiring that this information be provided to the CFTC, requires it be made available to news media and the general public "in a format that readily enables the consideration of such data."[457]

Proposed Rule 825(c)(3) is designed to promote wide use of the SBS trading information contained in the Daily Market Data Report by prohibiting an SBSEF from imposing any financial, legal, or operational burdens on that use, and, as the Commission stated in the Proposing Release, the prohibition against an SBSEF imposing any usage restrictions on its Daily Market Data Report would necessarily encompass a prohibition on bulk redistribution of the Daily Market Data Report or any information contained therein.[458] The Commission seeks to encourage market observers to access the Daily Market Data Report and scrub, reconfigure, aggregate, analyze, repurpose, or otherwise add value to the information contained in the report as they see fit.

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455 *See* Proposed Rule 825(c)(1)(vi) (emphasis added).

456 *See* Proposed Rule 825(c)(3).

457 17 CFR 16.01(e).

458 *See* Proposing Release, *supra* note 1, 87 FR at 28915.

For the reasons discussed above, the Commission is adopting Rule 825 as modified.[459]

I. Rule 826—Core Principle 9—Recordkeeping and Reporting

SEA Core Principle 9[460] sets forth recordkeeping and reporting obligations for SBSEFs. Core Principle 9 requires an SBSEF to maintain records of all activities relating to the business of the facility, including a complete audit trail, in a form and manner acceptable to the Commission for a period of five years. The Core Principle further requires an SBSEF to report to the Commission, in a form and manner acceptable to the Commission, such information as the Commission determines to be necessary or appropriate for the Commission to perform its duties. Finally, under Core Principle 9, the Commission must adopt data collection and reporting requirements for SBSEFs that are comparable to requirements for clearing agencies and SBS data repositories.[461] CEA Core Principle 10 for SEFs, although it includes an additional clause not present in the equivalent SEA Core Principle 9,[462] is substantively identical.

To implement SEA Core Principle 9, the Commission proposed Rule 826, which roughly approximates §§ 1.31 and 45.2 of the CFTC's rules,[463] while also drawing on concepts from the

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459 *See supra* note 32.

460 Section 3D(d)(9) of the SEA, 15 U.S.C. 78c-4(d)(9).

461 As discussed below in this section, the Commission is adopting Rule 826 to require an SBSEF to maintain records of all activities relating to the business of the SBSEF for a period of not less than five years. Similarly, Rule 17a-1 under the SEA, 17 CFR 240.17a-1, requires a clearing agency to keep and preserve one copy of all documents made or received in the course of its business and conduct of its self-regulatory activities for a period of not less than five years. In addition, Rule 13n-7(b) under the SEA, 17 CFR 240.13n-7(b), requires an SBS data repository to keep and preserve a copy of all documents made or received by it in the course of its business for at least five years.

462 CEA Core Principle 10 includes a clause stating that a SEF shall keep any records relating to certain swaps open to inspection and examination by the SEC. *See* 7 U.S.C. 7b-3(f)(10)(A)(iii).

463 Section 1.31 imposes on "records entities" (which term includes SEFs) various requirements relating to record retention and production. Section 45.2 imposes various recordkeeping, retention, and retrieval requirements applicable to SEFs (among others) to support trade reporting.

books and records requirements applicable to brokers, SEC-registered SROs, and other SEC-registered entities.[464]

Paragraph (a) of Proposed Rule 826 would repeat the statutory text of the Core Principle. Paragraph (b) would require an SBSEF to keep full, complete, and systematic records,[465] together with all pertinent data and memoranda, of all activities relating to its business with respect to SBS. Under paragraph (b), such records would be required to include, without limitation, the audit trail information required under Rule 819(f) and all other records that an SBSEF is required to create or obtain under Regulation SE.

Paragraph (c) of Proposed Rule 826 would require an SBSEF to keep records of any SBS from the date of execution until the termination, maturity, expiration, transfer, assignment, or novation date of the transaction, and for a period of not less than five years, the first two years in an easily accessible place, after such date. Paragraph (c) also would require an SBSEF to keep each record (other than a record of an SBS noted in the previous sentence) for a period of not less than five years, the first two years in an easily accessible place, from the date on which the record was created. The five-year retention requirements would be consistent with section 3D(d) of the SEA[466] and are modeled on the requirements for SEFs in §§ 1.31 and 45.2. The proposed requirement that the records be kept "in an easily accessible place" for the first two years derives

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464 *See infra* section XI (discussing in the context of Proposed Rule 15a-12 that an SBSEF registered with the Commission is also a registered broker and, as such, is subject to the SEA's recordkeeping and reporting requirements applicable to brokers).

465 While § 1.31(a) defines the terms "regulatory records" and "electronic regulatory records" and utilizes them throughout § 1.31, the Commission is utilizing instead the term "records," which is defined in section 3(a)(37) of the SEA, 15 U.S.C. 78c(a)(37). In doing so, the Commission seeks to avoid any ambiguities or inconsistencies that could arise by using variants of a term that is defined in the Commission's governing statute. The Commission has included a definition of "records" in Rule 802 that cross-references section 3(a)(37) of the SEA.

466 *See* 15 U.S.C. 78c-4(d)(9)(A)(i) (requiring an SBSEF to "maintain records of all activities relating to the business of the facility, including a complete audit trail, in a form and manner acceptable to the Commission, *for a period of five years*") (emphasis added).

from an analogous requirement in the Commission's principal books and records rule for exchange members, brokers, and dealers.[467]

Paragraph (d)(1) of Proposed Rule 826 would require an SBSEF to retain all records in a form and manner that ensures the authenticity and reliability of such records in accordance with the SEA and the Commission's rules thereunder. Paragraph (d)(2) would require an SBSEF, upon request of any representative of the Commission, to promptly[468] furnish to the representative legible, true, complete, and current copies of any records required to be kept and preserved under Rule 826. Paragraph (d)(3) would provide that an electronic record shall be retained in a form and manner that allows for prompt production at the request of any representative of the Commission. Paragraph (d)(3) would also include provisions modeled on § 1.31(c)(2) requiring an SBSEF that maintains electronic records to establish appropriate systems and controls that ensure the authenticity and reliability of electronic records.

Paragraph (e) of Proposed Rule 826 would provide that all records required to be kept by an SBSEF pursuant to Rule 826 would be subject to examination by any representative of the Commission pursuant to section 17(b) of the SEA, which is the source of the Commission's examination authority for registered brokers (among other types of registered entities). Proposed Rule 826(e) is designed only to remind SBSEFs of this statutory authority and would not seek to limit or expand that authority using the Commission's powers over SBSEFs in section 3D of the SEA.

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467 *See* Rule 17a-4(b) under the SEA, 17 CFR 240.17a-4(b).

468 In this context, "prompt" or "promptly" means making reasonable efforts to produce records that are requested by the staff during an examination without delay. In many cases, it is likely that an SBSEF could furnish records immediately or within a few hours of a request, and it would therefore be required to do so. An SBSEF generally should produce records within 24 hours unless there are unusual circumstances.

Proposed Rule 826 would include a paragraph (f) that is not modeled on any provision of § 1.31 or § 45.2, but rather on § 1.37(c) of the CFTC's rules, which would provide: "Each designated contract market and swap execution facility shall keep a record in permanent form, which shall show the true name, address, and principal occupation or business of any foreign trader executing transactions on the facility or exchange. In addition, upon request, a designated contract market or swap execution facility shall provide to the Commission information regarding the name of any person guaranteeing such transactions or exercising any control over the trading of such foreign trader." Proposed Rule 826(f) is modeled closely on § 1.37(c), except that it would use the term "non-U.S. member" rather than "foreign trader."[469]

The Commission received no comments on Proposed Rule 826 and is adopting Rule 826 as proposed, with minor technical modifications,[470] for the reasons stated in the Proposing Release.

J. Rule 827—Core Principle 10—Antitrust Considerations

SEA Core Principle 10[471] provides that, unless necessary or appropriate to achieve the purposes of the SEA, an SBSEF shall not: (1) adopt any rules or take any actions that result in any unreasonable restraint of trade, or (2) impose any material anticompetitive burden on trading

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469 Since a "foreign trader" in § 1.37(c) is executing transactions on the SEF, it must be a member of the SEF. Because the term "member" is used elsewhere in the CFTC rules pertaining to SEFs, the term "member" as used throughout Regulation SE is defined in Rule 802. The term "non-U.S. member," also found in Rule 802, is defined as "a member of a security-based swap execution facility that is not a U.S. person."

470 *See supra* note 32.

471 Section 3D(d)(10) of the SEA, 15 U.S.C. 78c-4(d)(10).

or clearing. CEA Core Principle 11[472] is substantively identical. Proposed Rule 827 would implement SEA Core Principle 10 and reiterate the statutory text of the Core Principle.[473]

The Commission did not receive any comments on Proposed Rule 827 and is adopting Rule 827 as proposed, for the reasons stated in the Proposing Release.

K. Rule 828—Core Principle 11—Conflicts of Interest

SEA Core Principle 11[474] requires an SBSEF to establish and enforce rules to minimize conflicts of interest in its decision-making process and to establish a process for resolving the conflicts of interest. CEA Core Principle 12[475] is substantively identical, and the CFTC implemented CEA Core Principle 12 in subpart M of part 37.[476]

Proposed Rule 828 would implement SEA Core Principle 11. Paragraph (a) of Rule 828, like § 37.1200, would repeat the statutory text of the Core Principle. Paragraph (b) would direct an SBSEF to comply with the requirements of Rule 834, which, as discussed below, would implement section 765 of the Dodd-Frank Act for both SBSEFs and SBS exchanges.[477]

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472 Section 5h(f)(11) of the CEA, 7 U.S.C. 7b-3(f)(11).

473 The Commission has not adapted the guidance from appendix B pertaining to CEA Core Principle 11 into its rule. As explained in the Proposing Release, it is not appropriate to adapt this guidance into a rule that applies to SBSEFs because the SEA (which applies to SBSEFs) does not have a provision that is closely comparable to section 15(b) of the CEA (which applies to SEFs). *See* Proposing Release, *supra* note 1, 87 FR at 28917 n.196. Furthermore, the guidance pertaining to CEA Core Principle 10 for SEFs sets out only a general approach to how the CFTC addresses antitrust issues applying to SEFs and does not include provisions that can readily be adapted into rule text. *Id.*

474 Section 3D(d)(11) of the SEA, 15 U.S.C. 78c-4(d)(11).

475 7 U.S.C. 7b-3(f)(12).

476 Section 37.1200 of subpart M repeats the statutory text of Core Principle 12. There are no other provisions in subpart M, nor is there any guidance or acceptable practices associated with Core Principle 12 in appendix B to part 37. The CFTC has proposed additional rules regarding the mitigation of conflicts of interest but has not adopted any such rules. *See* CFTC, Requirements for Derivatives Clearing Organizations, Designated Contract Markets, and Swap Execution Facilities Regarding the Mitigation of Conflicts of Interest, 75 FR 63732 (Oct. 18, 2010); CFTC, Governance Requirements for Derivatives Clearing Organizations, Designated Contract Markets, and Swap Execution Facilities; Additional Requirements Regarding the Mitigation of Conflicts of Interest, 76 FR 722 (Jan. 6, 2011).

477 *See infra* section VIII.

The Commission received no comments on Proposed Rule 828 and is adopting Rule 828 as proposed for the reasons stated in the Proposing Release.

L. Rule 829—Core Principle 12—Financial Resources

Core Principle 12[478] sets forth certain requirements related to the financial resources of an SBSEF. Paragraph (a)(1) requires an SBSEF to have adequate financial, operational, and managerial resources to discharge each responsibility of the SBSEF, as determined by the Commission. Paragraph (a)(2) would provide that the financial resources of an SBSEF shall be considered to be adequate if the value of the financial resources: (i) enables the organization to meet its financial obligations to its members and participants notwithstanding a default by the member or participant creating the largest financial exposure for that organization in extreme but plausible market conditions; and (ii) exceeds the amount that would enable the SBSEF to cover operating costs of the SBSEF for a one-year period, as calculated on a rolling basis. Finally, paragraphs (b) through (g) provide details and instruction on how to comply with the requirements of Core Principle 12.

CEA Core Principle 13 for SEFs[479] is substantively identical to SEA Core Principle 12 but lacks the clause in section 3D(d)(12)(B)(i) of the SEA relating to an SBSEF meeting financial obligations to members and participants notwithstanding a default by the member or participant creating the largest financial exposure for the SBSEF in extreme but plausible market conditions. As described in the Proposing Release, the Commission modeled Rule 829 on subpart N of part 37 of the CFTC's rules,[480] which implements CEA Core Principle 13 for SEFs.

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478 Section 3D(d)(12) of the SEA, 15 U.S.C. 78c-4(d)(12).

479 Section 5h(f)(13) of the CEA, 7 U.S.C. 7b-3(f)(13).

480 *See* Proposing Release, *supra* note 1, 87 FR at 28919.